SET 9: THE ONTARIO LACUS LIQUID ETHANE FRACTIONATION PLANT & ORBITAL EXPORT GANTRY

DOCUMENT 9B: BORROWER'S Q3 2146 QUARTERLY REPORTING PACKAGE & VALUATION MEMO

To: Jovian-Saturnine Colonial Development Consortium (JSCDC), as Administrative Agent

From: Ontario Ethane & Gantry Infrastructure LP (Borrower)

Date: October 20, 2146

Subject: Q3 2146 Financial Compliance Report & Asset Valuation Analysis

1. Financial and Operational Narrative

Throughout the third quarter of 2146, the Ontario Lacus facility operated in complete compliance with all covenants and technical metrics detailed in the Secured Credit Agreement (Document 9A). The high-altitude carbon-nanotube lines maintained exceptional structural and mechanical performance, posting a quarterly average **Gantry Tension Stability Rating (GTSR)** of 95.8%, which comfortably exceeds the 92.0% baseline standard specified in Section 4.01(1).

Processed liquid ethane met an average **Ethane Purity Index (EPI)** of 98.9%, successfully exceeding the 98.5% covenant standard outlined in Section 4.01(2). Consequently, the Facility Loans accrued interest at the baseline floating rate of **TIDOR plus 8.25%** per annum, with no triggers of the Orbital Load Alignment Risk Premium. Additionally, our escrow balances in the **Lacus Sediment Escrow** were fully maintained at the required SC 600,000,000 under Section 4.01(3).

2. Financial Statements (SSIAS Compliant)

Table 9.1: Consolidated Balance Sheet & Income Statement (Q3 2146)

All figures in Millions of Sol Credits (SC)

BALANCE SHEET & INCOME STATEMENT CONSOLIDATION			
Category / Account Item	**Q3 2146**	**Q2 2146**	**Variance (%)**
ASSETS			
Cash & Cash Equivalents	715.30	685.20	+4.39%
Lacus Sediment Escrow[1]	600.00	600.00	+0.00%
Ethane Inventory (At Market Value)	910.10	865.00	+5.21%
Pipeline & Gantry PP&E (Net)[2]	7,400.00	7,520.00	-1.60%
TOTAL ASSETS	**9,625.40**	**9,670.20**	**-0.46%**
LIABILITIES & PARTNERS' CAPITAL			
Secured Term Loans (JSCDC Facility)[3]	6,200.00	6,350.00	-2.36%
Shoreline Stabilization Provision	1,120.00	1,115.00	+0.45%
Partners' Equity Capital	2,305.40	2,205.20	+4.54%
TOTAL LIABILITIES & CAPITAL	**9,625.40**	**9,670.20**	**-0.46%**
OPERATING INCOME STATEMENT			
Gross Ethane & Gantry Revenue[4]	1,012.50	985.10	+2.78%
Lacus Pipeline Ops & Gantry OpEx[5]	(445.30)	(441.00)	+0.98%
Net Operating Income (NOI)	**567.20**	**544.10**	**+4.25%**

[1] Reconciles directly to the mandatory localized benthic stabilization escrow specified in Section 4.01(3).

[2] Detailed asset class values are reconciled directly to the subtotal summation of Net Book Values reported in **Table 9.2**.

[3] Reconciles directly to the outstanding Facility Loan principal balance specified under Section 2.01.

[4] Annualized liquid ethane sales correlate directly with the Base Case model outlined in **Table 9.3**.

[5] Includes high-tension line dampening, shoreline piping diagnostics, and fractionator maintenance.

Table 9.2: Detailed Subsurface Property, Plant & Equipment (PP&E)

All figures in Millions of Sol Credits (SC)

Asset Category	Sub-Asset Class	Gross Cost	Accumulated Depr.	Net Book Value
1. Ontario Lacus Pipeline	High-Tensile Shoreline Extraction Casings	3,300.00	(750.00)	2,550.00
	Lakebed Intake Booster Pumps	1,600.00	(400.00)	1,200.00
	Subtotal Lacus Pipeline	**4,900.00**	**(1,150.00)**	**3,750.00**
2. Isotopic separation	Centrifugal Fractional Separators	1,800.00	(350.00)	1,450.00
	Liquid Ethane Condensers	1,100.00	(300.00)	800.00
	Subtotal Separation Tower	**2,900.00**	**(650.00)**	**2,250.00**
3. Orbital Gantry	Carbon-Nanotube Gantry Cargo Lines	1,800.00	(400.00)	1,400.00
	Subtotal Orbital Gantry	**1,800.00**	**(400.00)**	**1,400.00**
TOTAL GEOTHERMAL PP&E[*]		**9,600.00**	**(2,200.00)**	**7,400.00**

[*] Reconciles directly to the **Pipeline & Gantry PP&E (Net)** line item on the Balance Sheet in **Table 9.1**.

3. Manager's Valuation Memo

Valuation Methodology: The Ontario Lacus Liquid Ethane facility is valued utilizing a Discounted Cash Flow (DCF) model reflecting specific high-altitude gantry mechanical wear and sub-surface seismic variables. Key structural assumptions include a Weighted Average Cost of Capital (WACC) of 12.50% and carbon-nanotube cargo line degradation profiles over a 20-year projected operational lifespan.

Table 9.3: Net Asset Value (NAV) Modeling under Alternate Pricing Scenarios

All figures in Millions of Sol Credits (SC) unless specified

Valuation Parameter	Base Case (Ethane @ SC 450/t)	Bear Case (Ethane @ SC 320/t)	Bull Case (Ethane @ SC 580/t)
Annual Ethane Output (k Tons)	9,000.00	8,500.00	9,500.00
Gross Revenue (SC/yr)[#]	4,050.00	2,720.00	5,510.00
Pipeline Operations & Utility Costs	(1,781.20)	(1,820.00)	(1,740.00)
Gantry Tension Recalibrations	(600.00)	(600.00)	(600.00)
Net Operating Income (NOI)	**1,668.80**	**300.00**	**3,170.00**
Capitalized Value (8.5% Capitalization Rate)	**19,632.94**	**3,529.41**	**37,294.12**
Debt Outstanding (JSCDC Facility)[^]	(6,200.00)	(6,200.00)	(6,200.00)
Implied Net Asset Value (NAV)	**13,432.94**	**(2,670.59)**	**31,094.12**

[#] Pro-rata Q3 Gross Revenue matches the **Gross Ethane & Gantry Revenue** reported in **Table 9.1** (SC 1,012.50m represents exactly 25.0% of the annualized Base Case Gross Revenue of SC 4,050.00m).
[^] Corresponds to the **Secured Term Loans (JSCDC Facility)** balance reported in the liabilities section of **Table 9.1**.

4. Five-Year Discounted Cash Flow (DCF) Schedule

Projection Summary: Below is the detailed 5-year financial model for Ontario Lacus Ethane. It incorporates inflation-linked operation cost growth of 3.0% annually, a discount rate of 12.50%, and an exit capitalization rate of 8.5% applied to Year 5 Free Cash Flow.

Table 9.4: Detailed Five-Year Free Cash Flow Projection

All figures in Millions of Sol Credits (SC) unless specified

Financial Parameter	Year 1	Year 2	Year 3	Year 4	Year 5
Estimated Ethane Yield (k Tons)	9,000.00	9,270.00	9,548.10	9,834.54	10,129.58
Gross Sales Revenue	4,050.00	4,171.50	4,296.65	4,425.54	4,558.31
Operating and Utility Expenses	(1,781.20)	(1,834.64)	(1,889.68)	(1,946.37)	(2,004.76)
Gantry Recalibrations	(600.00)	(618.00)	(636.54)	(655.64)	(675.31)
Net Operating Income (NOI)	**1,668.80**	**1,718.86**	**1,770.43**	**1,823.53**	**1,878.24**
Less: Maintenance Capital Expenditures	(300.00)	(309.00)	(318.27)	(327.82)	(337.65)
Free Cash Flow to Firm (FCFF)	**1,368.80**	**1,409.86**	**1,452.16**	**1,495.71**	**1,540.59**
Discount Factor (at 12.50%)	0.8889	0.7901	0.7023	0.6243	0.5549
Present Value (PV) of FCFF	**1,216.73**	**1,113.93**	**1,019.85**	**933.77**	**854.87**
Terminal Value (exit capitalization @ 8.5%)	—	—	—	—	18,124.59
Present Value of Terminal Value	**—**	**—**	**—**	**—**	**10,057.34**

[*] Cumulative Net Enterprise Value sum of Year 1-5 cash flows and present value of terminal value translates directly to **SC 15,196.49 million**. Reconciling this against outstanding debt yields robust mezzanine and equity value coverage under the specified parameters.